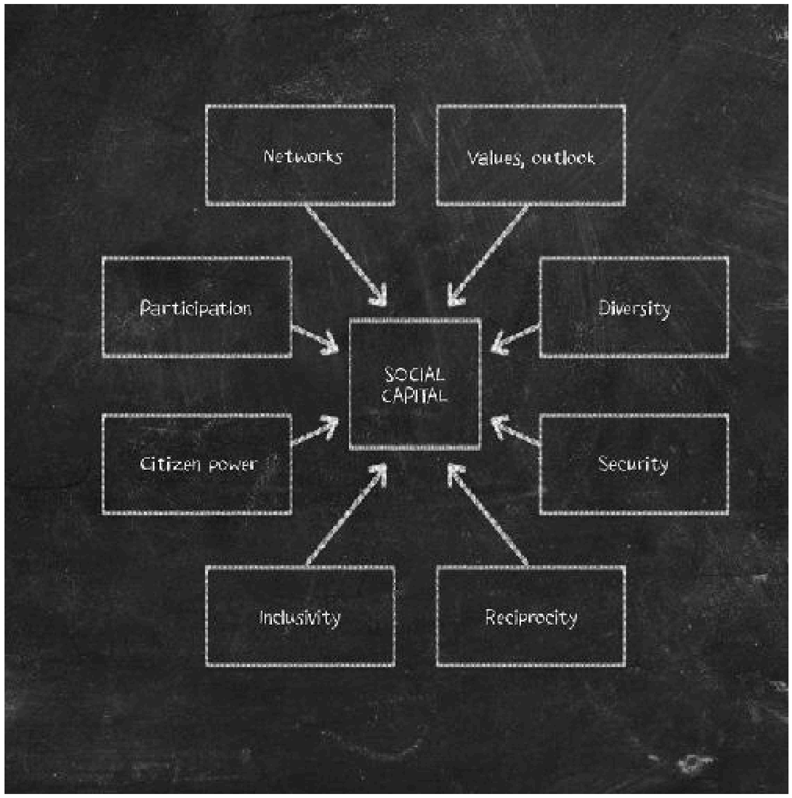
Social capital



Traditionally, when economists talk about capital they mean physical things – conveyor belts, electricity pylons, lathes – that along with labour can be used to produce goods. More recently, however, economists have begun to talk about social capital – broadly speaking, the connections between individuals that create social networks and trust. Like machines, social capital acts as an input into production, with large amounts of social capital allowing for more economic activity.

The market exchange and information sharing that make up economic life depend on social capital: without trust, even the most basic economic activity would be difficult. Belonging to social networks allows individuals to learn about market opportunities and jobs, and to coordinate with each other. Economists have tried to measure social capital and link it to national economic fortunes, but the idea can also be criticized:

some argue that it is a hopelessly vague concept that cannot provide a robust explanation of economic performance.